LOMA 290 OFFICIAL STUDY GUIDE

Insurance Company Operations

Master Review: Top 10 Core Topics & Key Learning Aids Summary

1. Organization & Corporate Structure

Topic 01 of 10

Stock Companies vs. Mutual Companies

Life insurance companies operate under two principal organizational structures, differing primarily by ownership and profit distribution:

- **Stock Life Insurance Companies:** Owned by stockholders/shareholders who elect the Board of Directors. Profits are distributed as dividends to shareholders or reinvested. Issues *nonparticipating (nonpar)* policies.
- **Mutual Life Insurance Companies:** Owned by policyowners. Managed by a Board of Directors elected by policyowners. Profits returned to policyowners as policy dividends. Issues *participating (par)* policies.
- **Mutual Holding Company Structure:** Allows a mutual company to reorganize to gain access to capital markets while preserving policyowner membership rights.

2. Corporate Governance & Stakeholder Alignment

Topic 02 of 10

Governance Framework & Stakeholder Balance

An insurance company must continuously balance the competing expectations of internal and external stakeholders under strict regulatory supervision:

- **Board of Directors:** Establishes corporate goals, oversees senior management, and ensures fiduciary compliance on behalf of owners.
- **Key Stakeholder Matrix:**
  - *Owners/Shareholders:* Demand competitive Return on Equity (ROE) and capital growth.
  - *Policyowners/Customers:* Seek solvency, fair pricing, prompt claim payouts, and high service quality.
  - *Regulators & Rating Agencies:* Demand financial stability, legal compliance, and market conduct ethics.

Line vs. Staff Functions

Line Functions: Directly create products or revenues (e.g., Underwriting, Claims, Marketing, Investments).

Support Functions

Staff Functions: Provide specialized operational advice/support (e.g., Legal, Human Resources, Accounting, IT).

Exam Note: Solvency and financial stability take top priority in governance decisions because insurance products represent long-term financial promises.

3. Product Development & Life Cycle

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Interdisciplinary Product Development Process

Developing new insurance and annuity products requires cross-functional collaboration across multiple specialized departments:

- **Ideation & Screening:** Assessing market demand, competitive environment, and strategic fit.
- **Feasibility & Pricing (Actuarial):** Projecting mortality, morbidity, interest rates, lapse rates, and operational expenses to determine premium structures.
- **Product Implementation:** Drafting policy contracts, securing regulatory state approvals, configuring IT systems, and preparing marketing collateral.

4. Underwriting & Risk Classification

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Risk Class	Mortality Risk Level	Premium Impact
Preferred Risk	Below average risk of loss (Superior health/lifestyle)	Lowest Premium Rate
Standard Risk	Average risk profile matching standard mortality tables	Standard Premium Rate
Substandard Risk	Above average risk (Health impairment/hazardous job)	Higher Premium (Extra Table Rating)
Declined / Uninsurable	Risk exceeds acceptable underwriting parameters	Coverage Denied

Underwriting Operations & Tools

- **Field Underwriting:** Producers collect initial medical and personal information during policy application.
- **Medical Information Bureau (MIB):** Confidential database sharing medical data among insurers to prevent fraud.
- **Automated Underwriting:** Expert rules engines used to immediately approve simplified standard risks without manual review.

5. New Business Processing & Policy Administration

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Policy Lifecycle & Conservation

Policy Administration oversees the life cycle of the contract following underwriting approval:

- **Policy Issuance & Delivery:** Generating legal contracts and confirming delivery receipt during the free-look period.
- **Customer Service & Maintenance:** Executing beneficiary updates, address changes, policy loans, and cash value withdrawals.
- **Conservation:** Strategies to retain existing customers and prevent policy lapse or surrender.

6. Claim Operations & Fraud Management

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The Claim Processing Workflow

Claim departments process death benefits and annuity payouts while ensuring strict contractual compliance:

- **Proof of Loss:** Reviewing official death certificates and claim claimant statements.
- **Contestability Period:** Reviewing claims occurring within the 2-year contestable window for material misrepresentation on the initial application.
- **Fraud Detection:** Utilizing specialized investigation units (SIU) to prevent fraudulent claims and safeguard company reserves.

7. Financial Management & Accounting

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Statutory Accounting Principles (SAP)

Focuses strictly on insurer **solvency and policyowner protection**. Conservative valuation rules required by state insurance regulators.

Generally Accepted Accounting Principles (GAAP)

Focuses on **profitability and operational performance** across reporting periods. Used by public stock companies for investors.

8. Investment Operations & Portfolio Asset Allocation

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General Account vs. Separate Accounts

- **General Account:** Funds traditional fixed products (e.g., Whole Life, Fixed Annuities). Invested conservatively in high-grade bonds and mortgages to ensure guaranteed payouts. Insurer bears investment risk.
- **Separate Accounts:** Funds variable products (e.g., Variable Life, Variable Annuities). Invested in equity funds and stocks chosen by the contract owner. Policyowner bears investment risk.

9. Distribution Channels & Marketing Operations

Topic 09 of 10

Distribution Channel	Key Characteristics
Agency Distribution	Captive (exclusive) agents representing one company or Independent agents representing multiple insurers.
Direct Distribution	Direct response via digital platforms, website portals, call centers, and direct mail.
Institutional Distribution	Bancassurance (sales through commercial banks) and broker-dealers for investment-linked insurance.

10. Regulatory Environment & Compliance

Topic 10 of 10

State Oversight & Compliance Standards

Insurance operations are primarily regulated at the state level (in the US) to maintain market fairness and insurer solvency:

- **NAIC (National Association of Insurance Commissioners):** Coordinates state regulation and creates Model Laws to standardize industry rules.
- **Solvency Regulation:** Risk-Based Capital (RBC) requirements mandate minimum capital levels based on an insurer's operational and asset risk profile.
- **Market Conduct Examinations:** Periodic audits reviewing sales practices, policy administration, and claim settlement compliance.